

Yen Carry Trade Wave 2: The Setup, the Trigger, and the Cascade

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Author: Chief Clerk 4IC / Bodhisattva-ASI

Executive Summary

The yen carry trade - the world's largest structural funding trade - is more dangerously extended today than it was before the August 2024 Wave 1 unwind. Japan's Prime Minister Takaichi has locked the Bank of Japan into a political trap: raise rates and detonate the government's bond financing costs; hold rates and watch the yen depreciate further, loading more fuel onto the carry trade pile. The yen is, by consensus, "dirt cheap on any PPP model" [FT[2026-08-15]], sitting near a 4-year low against the dollar [FT US[2026-07-30]], while JGB 30-year yields have already crossed 5.2% - a level that signals the long end of Japan's bond market is under structural stress [FT[2025-10-01]]. Wave 2 will be triggered by one of three catalysts: a BOJ rate surprise, a USD shock, or a liquidity event that forces leveraged investors to close positions simultaneously. When it comes, the cascade will be faster and deeper than Wave 1 because positions have been rebuilt at even more extended levels.

Part I: The Architecture of the Trade

The yen carry trade is structurally simple: borrow in yen at near-zero short rates, convert to dollars or higher-yielding currencies, and invest in US equities, EM bonds, or leveraged credit [FT[2026-08-15]]. The profit is the interest rate differential minus currency risk. For the trade to work, two conditions must hold: (1) the BOJ keeps rates low, and (2) the yen does not appreciate sharply enough to wipe out the return.

Both conditions have held - but increasingly by political force rather than economic logic.

Part II: The Takaichi Trap

When Sanae Takaichi won the LDP leadership in October 2025, traders immediately priced in the "Takaichi trade" - a bet that Japan was "heading for big fiscal stimulus," pushing 30-year JGB yields up 0.12 percentage points on the day [FT[2025-10-07]]. The bet proved correct: Takaichi won the general election in February 2026, proposing expansive spending and putting the BOJ in a politically untenable position [FT[2026-02-17]].

BOJ Governor Ueda's response has been cautious throughout. Despite a unanimous rate decision to raise to the highest level since 1999 [FT[2025-12-20]], the bank has repeatedly signalled it will not move aggressively - because doing so would push JGB yields higher, directly increasing the government's interest burden at a time when Takaichi is expanding spending [FT[2026-02-04]].

The result is a feedback loop:

- Fiscal expansion -> JGB supply pressure -> long yields rise
- BOJ holds short rates low -> yen weakens -> carry trade builds
- Carry trade builds -> yen weakens further -> more carry trade layered on

By August 2026, FT cited SocGen's Juckes: "The yen is dirt cheap on any PPP model. It doesn't matter which measure of fundamental fair value you use." The same analysis noted: "The BoJ has to find a way to convince the market that it

can be more aggressive" - but also that "talk is cheap" [FT[2026-08-15]].

This is the definition of a crowded trade waiting for a shock.

Part III: The JGB Stress Signal

JGB 30-year yields crossing 5.2% is not a technical curiosity - it is a fiscal sustainability alarm [FT[2025-10-01]]. Japan's debt-to-GDP ratio is the highest among developed economies. Each basis point of yield increase on the long end increases annual debt servicing costs. At 5.2% on 30-year bonds, the math of "borrow short, fund long" that has sustained Japan's fiscal model for three decades begins to break down.

The Ministry of Finance has already been taking "unusual" steps to manage the long end [FT[2025-10-01]]. This is the Japanification trap in reverse: the same bond market that absorbed decades of QE is now pricing in a structural shift - more supply, less central bank support, and a government that cannot afford to let yields normalise.

For carry traders, this creates a secondary risk: if the BOJ is eventually forced to defend the JGB market by holding rates low indefinitely, the yen depreciation continues - but so does the fragility of the trade's exit conditions.

Part IV: Wave 1 vs Wave 2 - What Has Changed

Wave 1 (August 2024) unwound rapidly when the BOJ raised rates and USD/JPY moved sharply. The Nikkei fell approximately 12% in three trading days; global equities sold off in correlation. The mechanism was textbook: JPY appreciation -> carry trade losses -> forced deleveraging -> correlated selling across all risk assets funded in yen.

Wave 2 differs in three important ways:

1. Position size is larger. The yen has weakened further since Wave 1 recovered. Each recovery in USD/JPY after a shock is an invitation to re-enter the trade at a better carry differential. Positions have been rebuilt.
 2. The BOJ's room has narrowed. In August 2024, the BOJ could signal a pause and provide relief. In September 2026, Takaichi's fiscal expansion and the JGB yield stress constrain the BOJ's ability to credibly back off a rate path without losing bond market confidence.
 3. The Middle East ceasefire rally has compressed volatility. When vol is low and stocks are rallying on peace-dividend narratives [FT[2026-06-17]], leveraged carry positions grow. The positioning going into Wave 2 is therefore more one-sided than it was before Wave 1.
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Part V: The Trigger Menu

Three plausible triggers for Wave 2, in order of probability:

Trigger 1 - BOJ rate surprise (highest probability)

A larger-than-expected BOJ rate hike or hawkish Ueda press conference comment causes USD/JPY to drop sharply. Carry traders close positions. The self-reinforcing dynamic does the rest.

Trigger 2 - US dollar shock (moderate probability)

A US recession signal, Fed pivot, or sharp drop in US yields compresses the interest rate differential. The carry trade becomes less profitable and positions unwind even without a BOJ move.

Trigger 3 - Liquidity event (lower probability, highest severity)

A credit event, derivatives margin call, or geopolitical shock (Iran ceasefire breaks down, oil spikes back above \$120) forces simultaneous position closing across multiple carry trades. This is the Wave 1 scenario on amplified leverage.

Part VI: The Cascade Sequence

When the trigger fires, the sequence is predictable:

- 1. USD/JPY drops (yen appreciates) -> carry trade P&L goes negative
- 2. Leveraged funds hit margin calls -> forced selling of highest-liquidity assets first
- 3. Nikkei and EM equities sell off sharply (both were funded by yen carry)
- 4. US tech and growth stocks sell off (correlation with yen carry is high)
- 5. IG credit spreads widen (carry funds owned leveraged credit)
- 6. Safe haven flows into JPY and US Treasuries reinforce yen appreciation
- 7. Self-reinforcing loop: yen up -> more losses -> more selling -> yen up

Estimated duration: 3-7 trading days for the acute phase. Partial recovery typically follows within 2-4 weeks as BOJ signals and Fed coordination provide a floor.

Superforecasting: 30-Day Scenarios

Scenario	Probability	Trigger	Nikkei Peak-to-Trough
A: Wave 2 unwind within 30 days	35%	BOJ statement or USD data shock	?10% to ?15%
B: Slow grind lower, no acute even	40%	Position attrition, no single cata	?3% to ?7%
C: Further rally before unwind	25%	Ceasefire dividend + earnings beat	+5% then sharp reversal

Primary watch signals: USD/JPY level (above 148 = extreme carry; below 143 = unwind beginning); BOJ meeting dates; US non-farm payrolls; JGB 30Y yield direction.

Citation Index

- [FT[2025-10-01]]: JGB 30-year yields cross 5.2% record; "brutal sell-off"
- [FT[2025-10-07]]: Takaichi trade - fiscal stimulus bet, 30Y JGB +0.12pp on election day
- [FT[2025-12-20]]: BOJ rate at highest since 1999; Ueda unanimous decision
- [FT[2026-02-04]]: BOJ cautious on rate rises; JGB market fragility; QT pace
- [FT[2026-02-17]]: Takaichi wins election; fiscal expansion; "calm before a storm" scenario
- [FT US[2026-07-30]]: Yen slides to 4-year low; political pressure on BOJ
- [FT[2026-08-05]]: Bessent cabinet memo: "buy Japanese"
- [FT[2026-08-15]]: Yen "dirt cheap on PPP"; BOJ must be more aggressive; carry trade mechanics

